

Jag Dev Prasad v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 22 September 2017 · WRIT - C No. 39313 of 2017 · **Writ petition disposed of without being entertained on the merits; the petitioner is relegated to the statutory remedies — a representation before the Executive Engineer (respondent no. 3) on a certified copy of the order, to be decided within three weeks, or an appeal under Section 127 of the Electricity Act, 2003 — with any recovery subject to the orders so passed.**

Source file: WRIC(A)_39313_2017.pdf

HEADNOTE

A Division Bench declined to entertain, under Article 226, a writ challenging a Section 126 (Electricity Act, 2003) assessment for unauthorised use of electricity — a sanctioned 7.5 HP agricultural tube-well connection found on checking (24.11.2015) to be additionally running a flour-mill and oil-expeller through a second 7.5 HP motor — followed by a final (ex-parte) assessment order (2 May 2016) and a recovery citation. Held: (1) the petitioner is relegated to the statutory appeal under Section 127, which, though onerous (requiring a deposit of 50% of the assessed amount), is an available and adequate alternative remedy that a writ will not bypass; (2) the challenge that the assessment was ex-parte and made without service of the provisional/final assessment notices — the petitioner pressing a distinction between 'service' and mere 'knowledge' of the proceedings — raises a factual question that can be pursued before the Executive Engineer (respondent no. 3), before whom the petitioner had already made a representation dated 1 June 2017; and (3) a petitioner invoking the extraordinary jurisdiction under Article 226 who admittedly had knowledge of the adverse material (the checking report and the assessment order, as recorded in his own representations dated 1 and 3 June 2017) is bound to disclose that material and question its correctness, and his failure to bring it on record — pleading only non-service — is a form of presentation the Court will not appreciate and which weighs against entertaining the petition. The writ was disposed of leaving the petitioner to approach the Executive Engineer with a certified copy of the order (to be decided in three weeks) or to appeal under Section 127, any recovery being subject to those orders.

FACTUAL SUMMARY

The petitioner, Jag Dev Prasad, held a sanctioned electricity connection for a tube-well driven by a single 7.5 horse-power motor. On a checking carried out on 24 November 2015 he was found to be illegally operating a second 7.5 HP motor to run a flour-mill and an oil-expeller in addition to the tube-well — i.e. unauthorised use beyond the sanctioned purpose, treated as theft of electricity. The checking report (which did not bear the petitioner's signature and carried a recommendation for an FIR, though none was ultimately shown to have been lodged) led to a provisional assessment stated to have been dispatched by registered post on 2 January 2016, and to a final assessment order passed ex-parte on 2 May 2016, no representation having been filed; a demand notice under Section 5 of the recovery Act of 1958 and a recovery citation (24 March 2017) followed, the citation being the immediate subject of challenge. The petitioner claimed he had no knowledge of any of these proceedings until 31 May / 1 June 2017, when he attended the respondents' office; he thereupon filed representations dated 1 and 3 June 2017 (Annexures 8 and 10) before the Executive Engineer and the Managing Director. He filed the writ petition (WRIT-C No. 39313 of 2017), and later a supplementary affidavit, contending that the assessment under Section 126 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 was made in breach of the prescribed procedure and of natural justice because the provisional and final assessment notices were never served on him, but were at most 'known' to him. An earlier 2011 dispute over alleged theft and incorrect billing was narrated but conceded by Senior Counsel to have no connection with the present matter. The petition was entertained and adjourned through several order-sheet dates (29 August, and 1, 7, 12, 20 and 21 September 2017) before the Bench passed final orders on 22 September 2017.

REUSABLE CONSTRUCTIONS

1. A statutory appeal under Section 127 of the Electricity Act, 2003 is an adequate alternative remedy against a Section 126 assessment, and its onerous character — the condition of depositing 50% of the assessed amount before the appeal is competent — does not by itself justify bypassing it by a writ under Article 226. p. p. 4, 7
2. Whether the provisional and final assessment notices under Section 126 were actually served (as distinct from the assessee merely acquiring 'knowledge' of the proceedings) is a question of fact that can be agitated before the assessing authority / Executive Engineer, and does not ordinarily call for the exercise of writ jurisdiction. p. p. 3, 4, 7

3. A petitioner invoking Article 226 who has knowledge of the material adverse to him is bound to disclose that material and question its correctness; withholding it while pleading only non-service is a form of presentation the Court will not countenance, and it weighs against entertaining the petition. p. p. 7
4. Where the challenge to an assessment is confined to the procedural / service aspect and does not specifically dispute the correctness of the calculation of the demand, the writ court is the more reluctant to interfere and will relegate the assessee to the statutory channels. p. p. 5, 7

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

RATIO

Writ not entertained where the Section 127 appeal, though onerous, is an available alternative remedy

QUESTION

Should a writ under Article 226 challenging a Section 126 assessment be entertained, or the petitioner relegated to the statutory appeal under Section 127, where that appeal is onerous because it requires a pre-deposit of 50% of the assessed amount?

HOLDING

Relegated to the appeal. The Court declined to entertain the petition, finding that a statutory remedy by way of appeal under Section 127 of the Electricity Act, 2003 was available to the petitioner even though it is onerous; the onerousness of the appeal — the condition of depositing 50% of the assessed amount before the appeal is competent — does not render the alternative remedy inadequate or justify bypassing it by writ. p. p. 4, 7

EVIDENCE “we are not inclined to entertain this petition and call for a counter affidavit from the respondents as we find that a statutory remedy under Section 127 of the 2003, Act is available to the petitioner, even though it is onerous” p. p. 7

EVIDENCE “file an appeal against the assessment order dated 02.05.2016 under Section 127 of the 2003, Act which is also a onerous procedure where the petitioner will have to deposit 50% of the amount before the appeal is treated to be competent” p. p. 4

HOLDING-UNIT · EA2003::126

RATIO

Ex-parte / non-service challenge to a Section 126 assessment is a factual matter for the assessing authority, not for writ

QUESTION

Must the petitioner's challenge that the Section 126 assessment was made ex-parte and without service of the provisional and final assessment notices — the 'service' versus mere 'knowledge' distinction — be adjudicated in writ, or can it be pursued before the assessing authority?

HOLDING

It can be pursued before the assessing authority. The challenge that the assessment proceedings were in violation of natural justice and ex-parte had already been raised by the petitioner before the Executive Engineer through his representation dated 1 June 2017; the factual findings on whether any prior notice was served could be pursued before the Executive Engineer (respondent no. 3) himself, who can delve into whether the proceedings were undertaken without notice, or the petitioner may appeal under Section 127. Being a factual question, it did not warrant the exercise of writ jurisdiction. p. p. 3, 7

EVIDENCE “this challenge raised about the entire assessment proceedings being in violation of principles of natural justice and being ex-parte was already represented by the petitioner before the Executive Engineer through his representation dated 1st June, 2017. The factual findings with regard to any evidence being available of prior notice, therefore, if being ex-parte could have been pursued before the Executive Engineer himself” p. p. 7

EVIDENCE “the Executive Engineer-respondent no. 3 can delve into this issue of the proceedings having been undertaken as alleged without any notice to the petitioner or alternatively the petitioner can file an appeal under Section 127 of the Act, 2003” p. p. 7

INTERPLAY · OFFTOPIC::article-226-duty-of-full-disclosure

RATIO

A petitioner with knowledge of adverse material must disclose it; non-disclosure weighs against entertaining the writ

QUESTION

Is a petitioner who invokes the extraordinary jurisdiction under Article 226, while admittedly having knowledge of the material adverse to him, obliged to disclose and bring that material on record, and does his failure to do so — pleading only non-service — weigh against the exercise of the Court's discretion?

HOLDING

Yes, disclosure is obligatory. A petitioner approaching the Court under Article 226 who admittedly had knowledge of the checking report dated 24.11.2015 and the final assessment order dated 2 May 2016 (as recorded in his own representations dated 1 and 3 June 2017) ought to have disclosed the entire material himself and questioned its correctness, rather than merely pleading that he had not been served; the Court could not appreciate this form of presentation of the writ petition and, in that background, was disinclined to entertain it, the petitioner not having satisfactorily questioned the correctness of the documents even after receiving them through the supplementary affidavit. p. p. 6, 7

EVIDENCE “We cannot appreciate this form of presentation of the writ petition, that too even under extra-ordinary jurisdiction under Article 226 of the Constitution of India where the petitioner inspite of having knowledge of the material against him does not choose to bring it on record or even explain the contents thereof except to take the plea of not having been served with the said documents previously” p. p. 7

EVIDENCE “The petitioner on approaching this Court under Article 226 of the Constitution of India ought to have disclosed the entire material himself” p. p. 7

PRINCIPLE TAGS

alternative-remedy-relegation-section-127 A writ against a Section 126 assessment is not entertained where the Section 127 appeal is available; the onerous 50% pre-deposit does not make the statutory remedy inadequate. p. p. 4, 7

service-versus-knowledge-of-assessment-notice The distinction between actual 'service' of the provisional/final assessment notice and the assessee's mere 'knowledge' of the proceedings is a factual question for the assessing authority; mere knowledge is not necessarily compliance with the prescribed procedure. Lead authorities: *Ashok Kumar v. State of U.P.* [897981]. p. p. 3, 4, 7

article-226-duty-of-full-disclosure A petitioner under Article 226 must disclose adverse material within his knowledge and cannot withhold it while pleading non-service; non-disclosure weighs against discretionary relief. p. p. 7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND CORRECTNESS OF THE SECTION 126 ASSESSMENT AND THE QUANTIFIED DEMAND

Not decided; the petitioner did not satisfactorily question the correctness of the assessment even after receiving the documents, and was relegated to the statutory remedies before the Executive Engineer / under Section 127. p. p. 7, 8

NOT DECIDED — WHETHER THE PROVISIONAL AND FINAL ASSESSMENT NOTICES WERE IN FACT SERVED ON THE PETITIONER

Left to be determined by the Executive Engineer (respondent no. 3) on the factual material; the Court recorded only that the petitioner had knowledge of the documents at least by 1 June 2017. p. p. 6, 7

NOT DECIDED — THE EARLIER 2011 DISPUTE OVER ALLEGED THEFT AND INCORRECT BILLING

Expressly treated as of no relevance to the present dispute and not gone into; Senior Counsel conceded it had no connection with the present matter. p. p. 2

RELATED CASES — SEE ALSO

SCJ-040 — *Kapil Gupta v. U.P. Power Corpn. Ltd.* — writ against a Section 126 theft assessment relegated to the Section 127 appeal where only factual disputes arise; the alternative-remedy rule and its jurisdiction / natural-justice / fundamental-rights exceptions.

SCJ-061 — *M/S Om Ice Factory v. P.VVNL* — writ challenging a provisional/final Section 126 assessment purely on facts, raising no jurisdictional, vires or natural-justice challenge, relegated to the Section 127 appeal.

SCJ-047 — *Lalit Kumar Kapoor v. KESCO* — theft-based Section 126 final assessment; alternate remedy under Section 127 and the appeal's deposit condition.

SCJ-051 — *M/S Beeco Electrical India v. P.VVNL* — the 'without jurisdiction' exception to the alternative-remedy rule invoked in a theft-based Section 126/135 assessment; relegation despite full merits argument.

SCJ-049 — *M.D., P.VVNL v. Electricity Ombudsman* — an assessment for unauthorised use referable to Section 126 is appealable only under Section 127, the statute creating its own assessing and appellate fora.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 [897981] Allahabad High Court (DB)	On the procedure prescribed by law for assessing unauthorised use of electricity, and the distinction between 'service' of notice and the assessee merely 'having knowledge' of the proceedings — mere knowledge of the assessment proceedings does not amount to compliance with the prescribed procedure.	Cited by the petitioner for the service-versus-knowledge distinction; the Court did not rule on the procedural challenge, leaving the factual question of service to be pursued before the assessing authority. p. p. 3, 4	Petitioner	Referred